

Theme 3.1 Globalisation, Trade & Global Business — Edexcel B

Specification coverage: This topic covers Edexcel B (9EB0) Theme 3 sections **3.1 Globalisation**, **3.2 Economic factors in business expansion**, **3.3 Impact of globalisation on global companies** and **3.4 Impact of globalisation on local and national economies**. Economics B is the *applied* specification: examiners expect you to apply theory to named firms, named countries and real data, so learn the case studies as well as the diagrams. Data in these notes is current as of **September 2026** and each figure is dated.

1. Globalisation

Globalisation: The increasing integration and interdependence of the world's economies through the growth of international trade, investment, migration, and the spread of technology, culture, and ideas across national borders.

1.1 Characteristics of Globalisation

- **Increased trade:** World trade (exports plus imports) was equivalent to **56.6% of world GDP in 2024**, compared with roughly a quarter of world GDP in 1960 (World Bank, *Trade (% of GDP), World*). The ratio has, however, been broadly flat since the 2008 financial crisis — a phenomenon often called "slowbalisation".
- **Foreign Direct Investment (FDI):** Multinational corporations (MNCs) invest and operate across borders. Global FDI inflows were about **\$1.5 trillion in 2024**, nominally up 4%; but UNCTAD warns that once volatile "conduit" flows through a handful of European financial centres are stripped out, underlying FDI *fell* 11% from \$1.67tn to \$1.49tn — a second consecutive annual decline (UNCTAD, *World Investment Report 2025*, June 2025).

- **Migration:** There were an estimated **304 million international migrants in 2024**, 3.7% of the world's population, up from 77 million in 1960 (UN DESA, *International Migrant Stock 2024*, published 2025).
- **Financial integration:** Capital flows across borders almost instantaneously; foreign exchange markets trade around the clock.
- **Technology transfer:** Ideas, innovations and production methods spread rapidly — increasingly through digital services rather than physical goods. FDI into the digital economy grew 14% in 2024 even as total project finance fell (UNCTAD, 2025).
- **Global supply chains:** A single product is assembled from components made in many countries — the defining feature of modern trade.
- **Cultural convergence:** The spread of brands, media and consumer culture, though usually adapted to local tastes (see §10).

1.2 Causes of Globalisation

Factor	Explanation
Reduced trade barriers	Successive GATT/WTO rounds cut average applied tariffs from over 40% in 1947 to low single figures for developed economies. That long decline has partly reversed since 2018 (see §6).
Transport costs	Containerisation transformed shipping economics from the late 1950s; air freight made high-value, low-weight goods tradable.
Communication technology	The internet, cloud computing and broadband allow services — accounting, software, design, customer support — to be delivered from anywhere.
Financial deregulation	The removal of capital controls (the UK abolished exchange controls in 1979) allows money to move freely across borders.
Trade blocs	The EU single market, USMCA, ASEAN, Mercosur and the CPTPP reduce barriers between member states.
Rise of MNCs	Firms such as Apple, Toyota, Unilever and Samsung run supply chains spanning dozens of countries and treat the world as a single production platform.

Political change

The fall of communism (1989–91) and China's WTO accession (2001) added hundreds of millions of workers to the world trading system.

1.3 Costs and Benefits of Globalisation

Benefits	Costs
Lower prices for consumers through competition and specialisation	Structural unemployment as production relocates to lower-cost countries (deindustrialisation)
Greater consumer choice and variety	Rising inequality within countries even where inequality between countries has narrowed
Technology transfer and knowledge spillovers to host economies	Environmental degradation and a possible "race to the bottom" in standards
Economic growth through trade and FDI	Loss of national policy autonomy — large firms can shift profits and production between jurisdictions
Poverty reduction — hundreds of millions lifted out of extreme poverty, above all in China and India	Cultural homogenisation and loss of distinctive local production
Economies of scale from access to a global market	Vulnerability to global shocks — the 2008 crisis, COVID-19 supply-chain disruption, the 2022 energy shock, the 2025–26 tariff shock

Case Study: China and Globalisation

China's integration into the world economy after joining the WTO in December 2001 is the largest globalisation experiment in history. China became the world's largest exporter of goods and its second-largest economy. Nominal GDP per capita rose from around \$1,000 in 2001 to roughly \$13,000 by 2024 (IMF). The World Bank estimates close to 800 million Chinese people have been lifted out of extreme poverty since reform began in 1978. The costs are equally clear: China is the world's largest CO₂ emitter; labour conditions in export factories have been widely criticised;

Western governments complain about forced technology transfer and industrial subsidies; and import competition contributed to manufacturing job losses in the US Rust Belt and parts of Northern England — the so-called "China shock". Since 2018 the relationship has partly reversed, with US and EU tariffs on Chinese electric vehicles, steel and solar products, and with firms pursuing "China plus one" sourcing strategies in Vietnam, Mexico and India.

2. Trade Theory

2.1 Absolute Advantage (Adam Smith)

Absolute advantage: A country has an absolute advantage in producing a good if it can produce it using fewer resources (more efficiently) than another country. Smith argued countries should specialise where they have an absolute advantage and trade for the rest.

2.2 Comparative Advantage (David Ricardo)

Comparative advantage: A country has a comparative advantage in producing a good if it can produce it at a lower **opportunity cost** than another country. Even if one country is more efficient at producing everything, both countries still gain from specialisation and trade based on comparative advantage.

Numerical Example

Country	Cloth (units/hour)	Wine (units/hour)	Opportunity cost of 1 Cloth	Opportunity cost of 1 Wine
UK	10	5	0.5 Wine	2 Cloth
Portugal	8	8	1 Wine	1 Cloth

The UK has a comparative advantage in cloth (opportunity cost of 0.5 wine, against 1 wine for Portugal). Portugal has a comparative advantage in wine (opportunity cost of 1 cloth, against 2 cloth for the UK).

Both gain if the UK specialises in cloth, Portugal in wine, and they trade at any rate between the two opportunity-cost ratios.

2.3 Assumptions and Limitations of Comparative Advantage

- **Assumes constant costs of production** — in reality costs may rise as output expands (diminishing returns), which limits the gains from full specialisation.
- **Assumes no transport costs** — freight, insurance and customs costs can offset a small cost advantage entirely.
- **Assumes perfect factor mobility within countries** — workers displaced from declining industries often cannot move occupationally or geographically, so the losers are concentrated.
- **Assumes no externalities** — specialisation may cause environmental damage not priced into the trade.
- **Ignores the terms of trade** — how the gains are divided depends on the exchange ratio actually reached.
- **Static model** — comparative advantage can be created. South Korea had no comparative advantage in semiconductors in 1970 and a dominant one today.
- **The gains are not evenly shared** — total welfare can rise while particular regions, firms and workers lose.

Evaluation: Free Trade vs Protectionism

- Trade theory strongly supports free trade — but the *distribution* of the gains is the political problem, and compensation for losers rarely happens in practice.
- Developing countries may need temporary protection to develop infant industries — the historical route taken by the UK, the USA, Japan and South Korea.
- Over-specialisation creates vulnerability: commodity exporters are exposed to price shocks, and COVID-19 showed the risk of single-source supply chains.
- Comparative advantage changes over time and can be shaped by government investment in skills, infrastructure and R&D.
- Strategic trade theory and "economic security" arguments — currently driving US, EU and UK policy on semiconductors, batteries and critical minerals — suggest intervention can shift high-value activity onshore, at a cost.

3. Exchange Rates

Exchange rate: The price of one currency in terms of another. For example, £1 = \$1.30 means one pound buys 1.30 US dollars.

3.1 Exchange Rate Systems

System	How It Works	Example
Floating	Determined by market supply of and demand for the currency, with no routine government intervention.	Pound sterling, US dollar, euro, yen
Fixed	The central bank pegs the currency to another currency (or previously gold) and intervenes using reserves to hold the rate.	Hong Kong dollar pegged to the US dollar; the Bretton Woods system (1944–71)
Managed float	Mostly market-determined, but the central bank intervenes to damp volatility or resist misalignment.	India, Singapore, and in practice China's tightly managed yuan

3.2 Determination of Floating Exchange Rates

The exchange rate is set by the supply of and demand for a currency on foreign exchange markets:

Demand for pounds (shifts D right = appreciation)

- Foreigners buying UK exports (they need pounds to pay).
- Foreign investors buying UK assets — FDI, gilts, UK-listed shares.
- Speculators expecting the pound to rise.
- Higher UK interest rates relative to abroad, attracting "hot money" inflows.
- Lower relative UK inflation, making UK goods more price-competitive.

Supply of pounds (shifts S right = depreciation)

- UK residents and firms buying imports.
- UK investors buying foreign assets, including UK MNCs funding overseas subsidiaries.
- Speculators expecting the pound to fall.
- Lower UK interest rates relative to other countries.

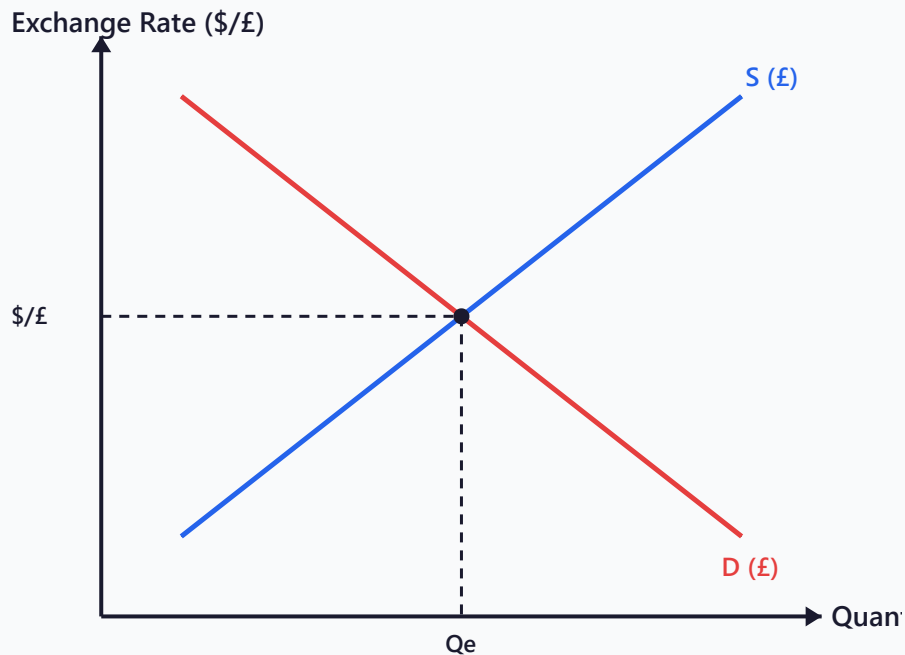


Figure 1: The foreign exchange market for pounds sterling — the equilibrium exchange rate is set by supply and demand.

3.3 Effects of Exchange Rate Changes

Depreciation (fall in the value of £)

- **Exports become cheaper** in foreign currency, boosting export demand.
- **Imports become more expensive** in pounds, reducing import volumes.
- Improves the **current account**, provided the Marshall-Lerner condition holds.
- May cause **cost-push inflation** through dearer imported energy, food and components.
- Raises the sterling cost of servicing **foreign-currency debt**.

Appreciation (rise in the value of £)

- Exports become more expensive, reducing competitiveness.
- Imports become cheaper, benefiting consumers and import-using firms.
- Worsens the current account.
- Reduces inflationary pressure — useful when the Bank of England is fighting inflation.

3.4 The Marshall-Lerner Condition and the J-Curve

Marshall-Lerner condition: A depreciation improves the current account only if the combined price elasticities of demand for exports and imports exceed 1.

$$|PED_X| + |PED_M| > 1$$

The **J-Curve effect**: in the short run a depreciation can worsen the current account, because contracts are pre-agreed and buyers take time to switch, so the higher price of imports raises the import bill before volumes adjust. Over time volumes respond and the balance improves, tracing a J-shape.

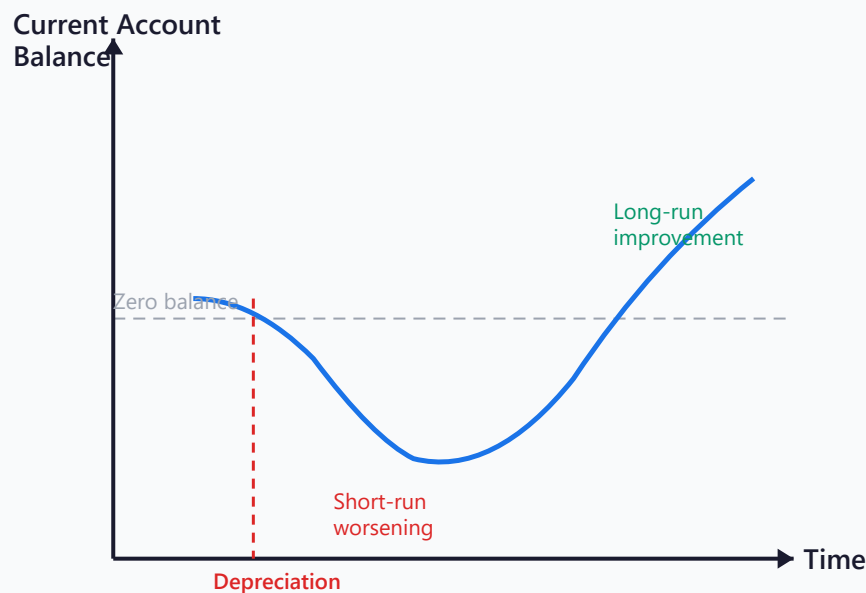


Figure 2: The J-Curve — a depreciation initially worsens the current account before improving it in the long run.

3.5 Exchange-Rate Changes and the Global Firm

This is a **9EB0 3.3** requirement: exchange rates do not simply affect "the economy", they change the revenue, costs and reported profits of individual global businesses. A firm's exposure depends on *where it sells, where it buys and where its assets and debts sit*.

Type of firm	Effect of a sterling <i>depreciation</i>	Effect of a sterling <i>appreciation</i>
UK exporter with UK inputs (e.g. a Scotch whisky distiller)	Gains: can cut foreign-currency prices to win volume, or hold prices and widen the sterling margin	Losses: either prices itself out of the market or absorbs a thinner margin
UK importer/retailer (e.g. a fashion chain sourcing from Asia)	Losses: input costs rise, squeezing margins or forcing price rises that cut demand	Gains: cheaper stock and better margins
UK manufacturer with imported components (e.g. a car plant)	Ambiguous: export revenue rises but imported parts cost more — the net effect depends on local content	Ambiguous, in reverse
UK-listed MNC earning abroad (e.g. a firm with mainly dollar revenues)	Gains on translation: overseas profits convert into more pounds, flattering reported earnings	Losses on translation, even if the underlying business is unchanged

Three further points examiners reward:

- **Transaction, translation and economic exposure.** Transaction risk is the risk on a specific invoice; translation risk is the accounting effect of converting foreign assets and profits; economic risk is the longer-run effect on competitiveness.
- **Hedging.** Firms use forward contracts, currency options and "natural hedging" (borrowing and buying in the same currency they earn in) to reduce uncertainty. Hedging costs money and only postpones the effect of a sustained move.
- **Volatility can matter more than the level.** An unpredictable rate raises the risk premium on investment; a stable but uncompetitive rate at least allows firms to plan.

Case Study: Brexit and the Pound

After the referendum result on 23 June 2016 the pound fell from around \$1.50 to \$1.32 within 24 hours, roughly a 12% depreciation, and it has not returned to its pre-referendum level. UK exports became cheaper and imports dearer, but the improvement in the trade balance was slow — consistent with the J-Curve and with the fact that much UK manufacturing relies on imported components. The weaker pound fed straight into prices: CPI inflation rose from 0.5% in June 2016 to 3.0% by September 2017. Firms were affected very differently. Exporters such as Rolls-Royce and Scotch whisky producers gained; FTSE 100 companies with large dollar earnings saw reported sterling profits rise, which is one reason the index hit record highs while the domestic economy was weak; import-dependent retailers and food manufacturers were squeezed, and several publicly blamed sterling for price rises.

4. Trade Blocs and Economic Integration

Trade bloc: A group of countries that agree to reduce or remove trade barriers between themselves to encourage trade and economic integration.

4.1 Levels of Integration

Type	Features	Example
Free Trade Area	No tariffs or quotas between members, but each member keeps its own external trade policy (so rules of origin are needed)	USMCA, EFTA, the CPTPP — which the UK joined on 15 December 2024
Customs Union	Free trade between members plus a common external tariff (CET) on imports from non-members	The EU customs union; Mercosur
Single/Common Market	Customs union plus free movement of goods, services, capital and labour, with harmonised regulation	The EU Single Market

Economic Union	Single market plus significant harmonisation of economic policy	The EU (a partial economic union)
Monetary Union	Economic union plus a single currency and central bank	The euro area — 21 EU members since Bulgaria adopted the euro on 1 January 2026

4.2 Trade Creation and Trade Diversion

Trade creation: Joining a bloc shifts production from a higher-cost domestic producer to a lower-cost producer inside the bloc — welfare-improving.

Trade diversion: Joining a bloc shifts purchases from a lower-cost non-member to a higher-cost member, because the common external tariff makes the efficient outside supplier artificially expensive — welfare-reducing.

A trade bloc raises world welfare if trade creation exceeds trade diversion. The bigger and more economically diverse the bloc, the more likely creation dominates.

Evaluation: Trade Blocs

- The net welfare effect is ambiguous — it depends on the balance of creation and diversion, which is an empirical question.
- Blocs may be "building blocks" towards global free trade, or "stumbling blocks" that entrench regional discrimination against poorer non-members.
- Members lose policy independence: a customs union member cannot set its own external tariff or strike its own trade deals.
- For business, deep integration cuts non-tariff barriers — the real cost in modern trade — far more than a simple tariff deal does.
- Regional integration also has political value: it raises the cost of conflict and can lock in reform.

5. The World Trade Organisation (WTO)

WTO: An international organisation established in 1995 to replace GATT. It has **166 members** — Comoros joined on 21 August 2024 and Timor-Leste on 30 August 2024 as the 166th member. Its role is to negotiate trade agreements, monitor trade policy and settle disputes.

5.1 Key Principles

- **Most Favoured Nation (MFN):** a concession granted to one member must be extended to all — with an explicit exception for free trade areas and customs unions.
- **National treatment:** imported goods must be treated no less favourably than domestic goods once they are inside the border.
- **Reciprocity:** concessions should be mutual, which is how negotiating rounds generate momentum.
- **Transparency and binding commitments:** tariff ceilings ("bindings") must be published and are hard to raise without compensation.
- **Special and differential treatment:** developing and least-developed members get longer transition periods and technical assistance.

5.2 Limitations of the WTO

- The **Doha Round**, launched in 2001, has never been concluded; negotiation now happens in narrow plurilateral deals rather than comprehensive rounds.
- **Consensus decision-making among 166 members** makes agreement extremely slow.
- **The Appellate Body has been paralysed since December 2019**, because the United States has blocked all new appointments; the remaining members' terms have since expired, leaving it with no judges at all. A losing party can now "appeal into the void", which prevents a panel ruling from taking legal effect. Around 50 members use the **Multi-Party Interim Appeal Arbitration Arrangement (MPIA)** as a workaround, but the US does not.
- **Enforcement ultimately depends on retaliation**, which only large economies can use effectively.
- **Proliferation of regional and bilateral deals** fragments the rules and erodes the MFN principle.
- Critics on both sides: developing countries argue the rules favour rich-country interests in services and intellectual property; the US argues the system constrains its ability to respond to non-market economies.

6. Protectionism

Protectionism: Government policies that restrict international trade to shield domestic industries from foreign competition — tariffs, quotas, subsidies and non-tariff barriers.

6.1 Methods of Protection

Tariffs

A tax on imported goods. It raises the domestic price of imports, switches demand towards domestic producers, and generates government revenue. The burden falls partly on domestic consumers and partly on foreign exporters, depending on elasticities.

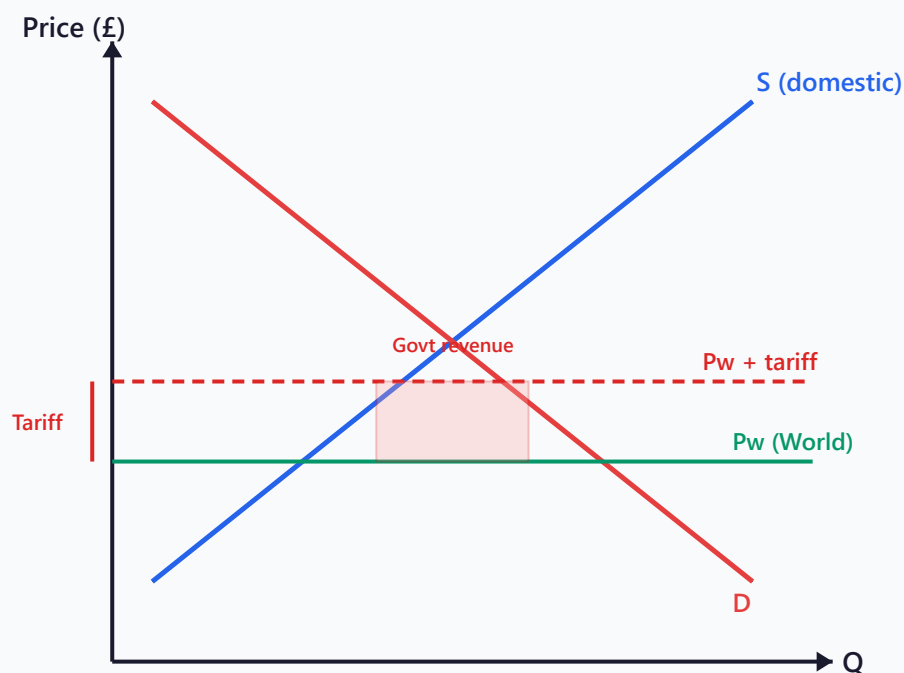


Figure 3: The effect of a tariff — the import price rises from P_w to $P_w + \text{tariff}$, domestic output rises, imports fall, and the government collects revenue (shaded area).

Quotas

A physical limit on the quantity that may be imported. Supply is restricted and the domestic price rises, but unlike a tariff the government collects no revenue — the gain goes to whoever holds the import licence or to foreign producers as a higher price.

Subsidies to domestic producers

Payments that reduce domestic firms' costs and make them more competitive against imports. Less visible than tariffs and harder to challenge, which is why they have grown: the US Inflation Reduction Act (2022), the EU Green Deal Industrial Plan and China's industrial subsidies have triggered a global subsidy race in EVs, batteries and semiconductors.

Non-tariff barriers (NTBs)

- **Administrative barriers:** customs declarations, rules-of-origin paperwork and inspection delays.
- **Product standards and regulations:** divergent safety, environmental or labelling rules that force firms to run two production lines.
- **Voluntary Export Restraints (VERs):** an exporting country "voluntarily" caps exports to head off a tariff.
- **Government procurement rules:** "buy national" requirements in public contracts.
- **Currency intervention:** holding a currency artificially low to subsidise exports.

6.2 Arguments For Protectionism

- **Infant industry argument:** new industries need temporary shelter until they reach minimum efficient scale.
- **Protecting employment** in regions with few alternative employers, where structural unemployment would be persistent.
- **National and economic security:** maintaining domestic capacity in defence, energy, food, semiconductors and critical minerals.
- **Anti-dumping:** preventing foreign firms selling below cost to destroy domestic competitors.
- **Correcting a persistent current account deficit.**
- **Standards:** refusing imports produced to lower environmental or labour standards — the logic behind the EU's Carbon Border Adjustment Mechanism.
- **Government revenue,** which matters most for low-income countries with weak income-tax systems.

6.3 Arguments Against Protectionism

- **Higher prices for consumers** and a fall in consumer surplus; tariffs are regressive because low-income households spend a larger share of income on goods.
- **Reduced choice.**
- **Retaliation** and trade wars that shrink export markets.
- **Reduced competitive pressure**, leading to X-inefficiency and complacency in protected firms.
- **Misallocation of resources** away from sectors of genuine comparative advantage.
- **Regulatory capture**: "temporary" protection is lobbied into permanence.
- **Deadweight welfare loss** — production and consumption distortions, exactly as with an indirect tax.
- **Tariffs hit domestic producers too**, because roughly half of world trade is in intermediate goods used by domestic manufacturers.

Case Study: The US–China Trade War and the 2025–26 Tariff Shock

In 2018–19 the first Trump administration imposed tariffs of up to 25% on around \$370 billion of Chinese imports, citing intellectual-property theft and the bilateral deficit. China retaliated against US agriculture, cars and energy; US soybean exports to China collapsed. Federal Reserve Bank of New York research put the cost to the average US household at about \$831 a year. The conflict escalated sharply in 2025, when the second Trump administration used the International Emergency Economic Powers Act (IEEPA) to impose broad "reciprocal" tariffs on most trading partners, with US tariffs on some Chinese goods briefly exceeding 100% before a truce. On **20 February 2026 the US Supreme Court ruled 6–3 that IEEPA does not authorise the president to impose tariffs**. Within hours the White House ended the IEEPA orders and reimposed a 10% global import surcharge under **Section 122 of the Trade Act 1974** — an authority capped at 15% and limited to 150 days unless Congress votes to extend it. The Yale Budget Lab estimated the US average effective tariff rate at around **11% in April 2026**, the highest since the 1940s, costing the average household roughly \$1,100 a year. The episode is a textbook illustration of three ideas: tariffs are paid substantially by domestic consumers; retaliation spreads the damage; and policy uncertainty itself deters investment, because firms cannot plan supply chains around rules that may be struck down in court.

Case Study: Post-Brexit UK Trade and Non-Tariff Barriers

The UK left the EU single market and customs union on 1 January 2021. The Trade and Cooperation

Agreement removed tariffs and quotas but not non-tariff barriers: customs declarations, rules-of-origin proof, sanitary and phytosanitary checks on food and plants, and growing regulatory divergence. The Office for Budget Responsibility assumes Brexit will leave UK imports and exports about **15% lower**, and potential productivity about **4% lower**, than if the UK had remained — and in its March 2024 assessment judged the trade assumption "broadly on track". Small exporters were hit hardest, because compliance costs are largely fixed and therefore regressive in firm size. The UK has since pursued other routes: it joined the **CPTPP on 15 December 2024**; the **UK–India Free Trade Agreement** was signed on 24 July 2025 and enters into force on 15 July 2026; and at the May 2025 UK–EU summit both sides agreed to negotiate a **sanitary and phytosanitary (SPS) agreement** to cut food-trade friction, with the government aiming to conclude talks by early 2027. The case shows that in modern trade the binding constraint is usually regulatory, not tariff.

7. Why Firms Expand Overseas: Push and Pull Factors

Specification section **3.2 Economic factors in business expansion** asks why a firm stops being national and becomes global. The standard framework splits the causes into factors pushing the firm out of its home market and factors pulling it towards foreign ones.

7.1 Push Factors (conditions at home)

- **Saturated domestic market:** demand is mature and market share can only be won from rivals. Greggs, Tesco and the UK supermarkets all faced this before looking abroad.
- **Slow domestic growth or recession:** weak home demand pushes firms to diversify their revenue geographically.
- **High domestic costs:** wages, energy, business rates, land and regulatory compliance. UK industrial electricity prices have been among the highest in the OECD, a cited reason for chemicals and steel relocation.
- **Intense domestic competition** compressing margins.
- **Domestic regulation:** stricter environmental, planning or labour rules than in alternative locations — the "pollution haven" concern.
- **Trade barriers against exports:** if a market is behind a tariff wall, the only way in is to produce inside it — this is "tariff-jumping" FDI, and it is exactly why Japanese carmakers built plants in the EU and, more recently, why firms have announced US plants in response to US tariffs.

- **Demographics:** an ageing, slow-growing home population versus young, fast-growing populations elsewhere.

7.2 Pull Factors (attractions abroad)

- **Market size and growth:** access to new consumers — India, Indonesia, Nigeria and Vietnam all offer large young populations with rising incomes.
- **Lower production costs:** cheaper labour, land, energy or raw materials; this is *vertical* or efficiency-seeking FDI.
- **Access to raw materials and resources:** mining, oil, agriculture and, increasingly, critical minerals for batteries.
- **Economies of scale:** spreading fixed costs of R&D, branding and plant across a far larger output, lowering long-run average cost.
- **Skilled labour and clusters:** firms locate R&D where the talent is — software in Bengaluru, pharmaceuticals in Cambridge, finance in London.
- **Government incentives:** tax holidays, grants, special economic zones, low corporation tax. Ireland's 12.5% headline rate attracted a generation of US tech and pharma investment.
- **Avoiding trade barriers and exchange-rate risk** by producing and selling in the same currency area (a "natural hedge").
- **Risk diversification:** spreading exposure across business cycles and currencies.
- **Extending the product life cycle:** a product maturing at home may be in its growth phase elsewhere.

Evaluation: Do the Motives Always Deliver?

- **Cost-driven expansion can backfire:** wages in coastal China rose sharply, eroding the original cost advantage and pushing firms on to Vietnam and Bangladesh; relocation costs are sunk.
- **Market-seeking expansion assumes you understand the market:** Tesco lost around £1.2bn on its US "Fresh & Easy" venture before withdrawing in 2013; Walmart exited Germany and South Korea.
- **Objectives conflict:** efficiency-seeking FDI wants low wages, market-seeking FDI wants high incomes — they point to different countries.
- **Political and legal risk** can wipe out a cost advantage overnight, as the 2022 corporate exodus from Russia showed.

- **The decision should be judged on risk-adjusted return**, not on headline cost savings: a 30% wage saving is worth little if quality, lead times or reputational risk deteriorate.

8. Choosing a Market: Where to Expand

Having decided to go abroad, the firm must choose *which* market. Specification 3.2 lists the economic and non-economic factors that determine this choice.

Factor	What the firm looks at	Why it matters
Market size	Population, and the size of the relevant segment	Determines the potential sales volume and whether economies of scale are achievable
Income levels and distribution	GDP per capita (PPP), growth rate, size of the middle class, income inequality	Determines whether consumers can afford the product; a luxury brand needs a large top decile, a discount brand needs mass purchasing power
Ease of doing business	Time and cost to register a company, enforce contracts, obtain permits, repatriate profits	High administrative costs and weak contract enforcement raise risk and delay returns
Infrastructure	Roads, ports, airports, reliable electricity, broadband, logistics networks	Poor infrastructure raises unit costs and makes just-in-time supply chains impossible
Political stability and governance	Rule of law, corruption, risk of expropriation, policy predictability	FDI is a long-lived sunk commitment; instability raises the required rate of return
Exchange rate and macro stability	Inflation, currency volatility, capital controls	Affects the value of repatriated profits and the ability to plan

Cultural factors	Language, religion, tastes, consumer habits, business etiquette	Determines how much the product, marketing and management style must be adapted ("cultural distance")
Legal and regulatory barriers	Ownership limits, licensing, data rules, product standards, IP protection	Some sectors are closed to foreign majority ownership; weak IP protection deters technology-intensive investment
Competition	Existing incumbents, their scale and their brand strength	Determines the cost of entry and the achievable market share
Trade agreements	Whether the country is a bloc member or has an FTA with the firm's base	A plant inside a customs union serves the whole bloc tariff-free

Case Study: Why Global Firms Target India

India illustrates every factor in the table at once. The **pull** is enormous: the world's most populous country, a young workforce, and one of the fastest-growing large economies. It is also the world's leading services-sourcing destination, with roughly a 57% share of the global services sourcing market and an IT and business-process industry employing over five million people (NASSCOM, FY2024–25). The **frictions** are equally real: average incomes remain low, so pricing must be adapted; infrastructure is uneven outside the major corridors; land acquisition and permitting are slow; and several sectors restrict foreign ownership, which is why so many entrants use joint ventures with Indian partners. The **UK–India Free Trade Agreement**, signed on 24 July 2025 and entering into force on 15 July 2026, lowers tariffs on goods such as Scotch whisky and cars and improves services access — a direct, examinable example of a trade agreement changing where firms choose to expand.

9. Methods of Entry into Overseas Markets

Entry methods sit on a spectrum: the more capital a firm commits, the more control and potential profit it gets — and the more risk it bears.

Method	How it works	Advantages	Disadvantages
Exporting (direct or via an agent/distributor)	Produce at home, sell abroad	Low cost and low risk; easily reversed; no foreign assets to lose	Transport costs and tariffs; little control over marketing; vulnerable to exchange-rate moves and to protectionism
Licensing	A foreign firm pays a royalty to make or sell the product using the owner's brand, patent or process	Almost no capital needed; fast; converts intellectual property into income	Low returns; loss of quality control; risk of creating a future competitor if IP protection is weak
Franchising	The franchisee invests the capital and runs the outlet to the franchisor's system	Very rapid expansion funded by others; local operators understand the market	Brand damage from a poor franchisee; disputes over standards and fees
Joint venture	A new jointly owned entity with a local partner, sharing capital, profit and control	Local knowledge, distribution and political contacts; shared risk; often the only legal route into restricted sectors	Shared profit; conflict over strategy; risk of technology leakage to the partner
Foreign Direct Investment — greenfield	Build your own plant, office or store network abroad	Full control and full profit; plant built to the firm's own specification; avoids tariffs on the finished good	Very large sunk cost; slow; exposed to political risk and to getting the location decision wrong

Acquisition or merger	Buy an existing foreign firm	Instant market share, brand, staff and distribution; removes a competitor	Expensive, often with a takeover premium; cultural and systems integration frequently fails; may be blocked by competition or national-security regulators
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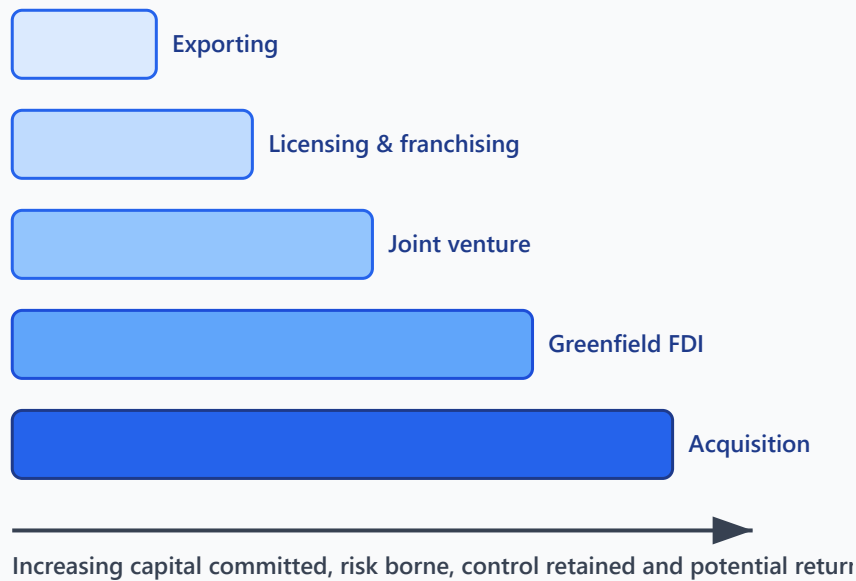
Method of entry

Figure 4: The market-entry ladder. Bar length shows the degree of commitment. Moving down the ladder increases sunk costs and exposure to political risk, but also increases control over quality, branding and profit.

9.1 Choosing Between Them

The right method depends on:

- **The firm's objectives and time horizon** — testing a market cheaply favours exporting; building a long-term position favours FDI.
- **Capital available and attitude to risk** — smaller firms rarely have the balance sheet for greenfield FDI.
- **How valuable and protectable the intellectual property is** — high-tech firms avoid licensing where IP enforcement is weak.
- **Legal restrictions** — foreign ownership caps force joint ventures.

- **The size of tariffs and transport costs** — heavy, bulky or highly tariffed goods must be produced locally.
- **Cultural distance** — the greater it is, the more valuable a local partner.

Case Study: Tata Starbucks — Entry by Joint Venture

Starbucks entered India in 2012 through a 50:50 joint venture with Tata, trading as Tata Starbucks. The choice of entry mode was driven by exactly the factors above: India restricted foreign ownership in multi-brand retail, so a partner was effectively required; Tata brought real estate, supply-chain reach and an enormously trusted Indian brand; and the coffee itself could be sourced and roasted in India through Tata's plantations. Starbucks accepted a 50% share of the profit in return for a far lower risk of failure than a greenfield roll-out. Contrast this with the company's approach in the UK, where it entered in 1998 by **acquiring** the Seattle Coffee Company and converting its stores — instant scale in a market Starbucks understood well. The same firm, two markets, two entry modes: the lesson examiners want is that entry mode is contingent, not fixed.

10. Global Marketing Strategies

Specification section **3.3** requires the three standard approaches to marketing across borders. The question is always the same: how far should the product and the marketing mix be *standardised* across countries, and how far *adapted*?

10.1 Domestic / Ethnocentric Approach

Ethnocentric marketing: The firm sells essentially the same product, in the same way, everywhere, treating overseas markets as extensions of the home market. Strategy and decisions stay at head office.

- **Advantages:** maximum economies of scale in production, packaging and advertising; a single consistent global brand image; simple management.
- **Disadvantages:** ignores differences in taste, income, climate, religion and regulation; can read as culturally tone-deaf and lose to local rivals.

- **Works best** for products with universal appeal and strong brand identity — luxury goods, aircraft, industrial equipment, Coca-Cola's core formula, Apple's hardware.

10.2 Mixed Approach / Glocalisation

Glocalisation: "Think global, act local." The firm keeps a global brand, global core technology and global supply chain, but adapts the product, price, promotion and place to each local market.

- **Advantages:** retains most scale economies while meeting local tastes and rules; usually raises market share against local competitors.
- **Disadvantages:** higher costs from shorter production runs, more SKUs, local R&D and separate advertising; brand consistency is harder to police.
- **The dominant strategy in practice** for consumer goods and food service.

10.3 Global / Geocentric Approach

Geocentric marketing: The firm treats the world as one market with segments that cut *across* national borders, and builds products and teams around those global segments rather than around countries. Management is recruited globally and best practice flows in any direction, not just outwards from head office.

- **Advantages:** the most efficient use of global talent and ideas; innovations developed in one market are rolled out worldwide ("reverse innovation"); strongest for digital products with near-zero marginal cost.
- **Disadvantages:** complex to manage; needs a genuinely international senior team; risk of a brand that belongs nowhere.
- **Examples:** Unilever developing low-cost sachet products in India and taking the format to other emerging markets; streaming platforms commissioning local-language drama and distributing it globally.

Case Study: McDonald's — Glocalisation in Practice

McDonald's operates in over 100 countries and is the standard glocalisation example. The **global** elements are fixed: the brand, the golden arches, the restaurant format, the supply-chain and food-

safety systems, the franchising model. The **local** elements change market by market. In India — where a large share of consumers do not eat beef or pork — the menu is built around chicken and vegetarian products such as the McAlloo Tikki and McSpicy Paneer, with separate vegetarian and non-vegetarian kitchen lines. In Japan the Teriyaki burger and shrimp products are permanent fixtures. In France the restaurants themselves were redesigned to a more café-like format and the McBaguette was introduced. Pricing is adapted to local incomes, and promotion to local media and sporting culture. The strategic trade-off is explicit: McDonald's gives up some economies of scale and accepts a more complex supply chain, in return for the market share it would lose to local rivals if it sold an unmodified US menu.

11. MNCs, FDI and the Impact on Local and National Economies

Multinational corporation (MNC): A firm that owns or controls production, service or research facilities in more than one country.

Foreign Direct Investment (FDI): Cross-border investment in which an investor acquires a lasting interest — conventionally at least 10% of the voting power — in an enterprise in another economy. It differs from portfolio investment, which is passive and far more easily withdrawn.

11.1 FDI Flows: The Current Picture

- Global FDI inflows were about **\$1.5 trillion in 2024** on the headline measure, up 4%; adjusted for conduit flows through European financial centres they *fell 11%* from \$1.67tn to \$1.49tn, the second consecutive fall (UNCTAD, *World Investment Report 2025*).
- International **project finance fell 26%** in 2024, with steep declines in renewable energy (–31%), transport (–32%) and water and sanitation (–30%) — the sectors most needed for the Sustainable Development Goals.
- **FDI in the digital economy grew 14%**, led by ICT manufacturing, digital services and semiconductors.
- Europe was hit hardest in 2024, with inflows down 58%; **Africa recorded a 75% rise**, though largely because of a single mega-project in Egypt.

- For the UK: the **inward FDI position was £2,127.6 billion at the end of 2024**, down £75.4bn on the year, with the **United States the largest single source at about 34%** (ONS, *Foreign direct investment involving UK companies*, 2024 release).

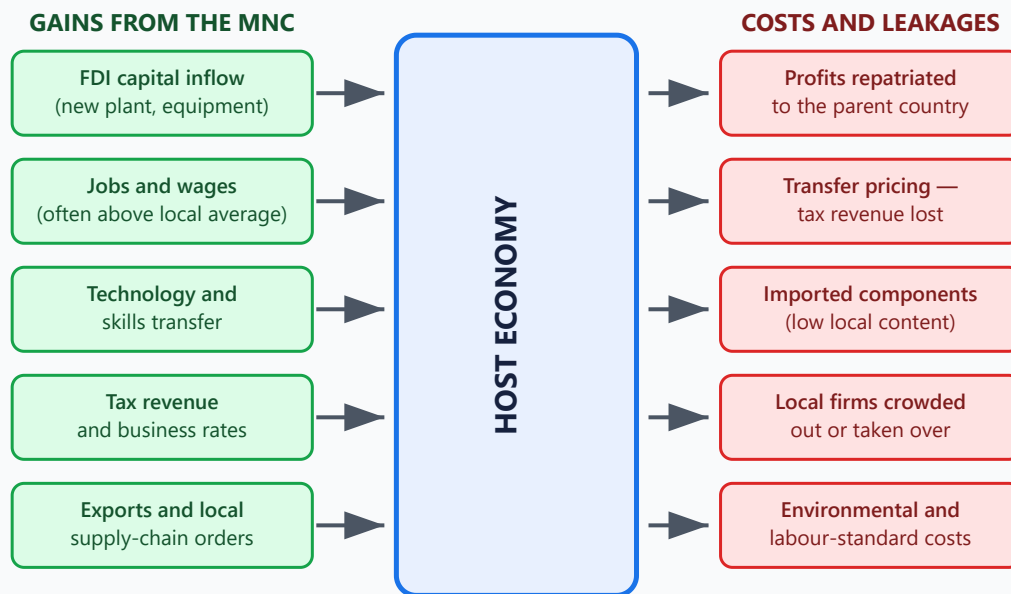


Figure 5: The net effect of an MNC on a host economy. The gains on the left are largely one-off or conditional; the leakages on the right are continuing. Whether FDI raises national welfare depends on which side is larger — and that depends heavily on the bargaining power and regulatory capacity of the host government.

11.2 Benefits of MNC Activity to the Host Economy

- Employment:** direct jobs in the plant plus indirect jobs in the supply chain, and induced jobs from the spending of those workers — a regional multiplier effect.
- Higher wages:** MNC affiliates typically pay above the local average for comparable work, partly to attract and retain scarce skills.
- Capital and investment:** FDI fills a savings–investment gap without creating external debt, unlike borrowing.
- Technology and management transfer:** process technology, quality-control systems and lean production methods diffuse to local suppliers and to workers who later move on or start their own firms.
- Tax revenue:** corporation tax, employer social contributions and business rates, plus the income tax and VAT generated by the wages paid.

- **Exports and the current account:** export-oriented FDI earns foreign currency.
- **Consumer benefits:** more choice, lower prices and competitive pressure that forces domestic incumbents to improve.
- **Infrastructure:** large investments often come with roads, power connections and training facilities that others can use.

11.3 Costs of MNC Activity to the Host Economy

- **Profit repatriation:** profits flow out as investment income debits on the current account, so GDP rises by more than GNI.
- **Transfer pricing and tax avoidance:** see §11.4.
- **Crowding out:** a large entrant can absorb scarce skilled labour, credit and land, bid up local wages and rents, and drive smaller domestic firms out of business.
- **Limited genuine technology transfer:** if the affiliate only performs low-value assembly and all R&D stays at head office, the host gets jobs but not capability — the "screwdriver plant" problem.
- **Environmental and labour standards:** the pollution-haven and race-to-the-bottom concerns; weak enforcement can mean hazardous conditions, excessive hours and suppression of union organisation.
- **Footloose capital:** plants can be closed and relocated far faster than a regional economy can adjust, leaving structural unemployment behind.
- **Political influence:** very large firms can lobby for tax breaks, deregulation and subsidies, creating a bidding war between host governments that transfers rent from taxpayers to shareholders.
- **Cultural and competitive effects:** displacement of local brands and, in retail, of independent high-street businesses.

11.4 Transfer Pricing and the Tax Base

Transfer pricing: The price at which one part of a multinational sells goods, services, brand rights or loans to another part of the same group. Because the price is set internally rather than by a market, it can be chosen to shift reported profit from high-tax to low-tax jurisdictions. The legal standard is the "arm's length principle" — the price that would have been agreed between unrelated firms.

The classic mechanism: a subsidiary in a high-tax country pays a very large royalty for the group's brand to an affiliate in a low-tax country, wiping out its taxable profit. Because roughly a third of world trade is *intra-firm*, the sums are enormous. The main policy response is the OECD/G20 **Pillar Two global minimum tax**, which sets a minimum effective tax rate of **15%** on multinational groups with revenue above **€750 million**. It began taking effect in 2024 and around 40 jurisdictions, including the UK, had legislation in force. Its reach is contested: in **January 2026 the US Treasury announced that US-headquartered groups would be exempt from Pillar Two's requirements**, which significantly narrows the regime's practical coverage — a live evaluation point about whether international tax cooperation can bind the largest economies.

11.5 Effects on the Home (Source) Economy

- **Gains:** repatriated profits and dividends credited to the current account; higher-value head-office, R&D, design and finance jobs retained at home; cheaper inputs for domestic consumers; larger, more resilient firms.
- **Losses:** job losses and regional decline where production relocates; erosion of the manufacturing skill base; a weaker corporate tax base; and a hollowing-out of the supply chain, which is hard to rebuild once gone.
- The distributional point matters for evaluation: the gains are diffuse (slightly cheaper goods for everyone, higher share prices) while the losses are geographically concentrated — which is precisely why globalisation has become politically contested.

Evaluation: Is FDI Good for the Host Economy?

- **It depends on the type of FDI.** Efficiency-seeking FDI that only assembles imported kits delivers far less than market-seeking or strategic-asset-seeking FDI that brings R&D and local sourcing.
- **It depends on local content and linkages.** The multiplier is only large if the affiliate buys from domestic suppliers rather than importing components.
- **It depends on absorptive capacity.** Technology spillovers require a local workforce educated enough to absorb them; without that, the host gets jobs but no lasting capability.
- **It depends on the host government's bargaining power and regulatory strength.** A state that can enforce environmental, labour and tax rules captures far more of the benefit; a small economy competing for one plant may give away more in tax breaks than the investment is worth.

- **Consider the counterfactual.** The comparison is not "MNC versus nothing" but "MNC versus what domestic firms and capital would otherwise have done with those workers, that land and that credit".
- **Consider the time frame.** Short-run job gains can be offset by long-run dependency on a footloose employer.

Case Study: Nissan in Sunderland — FDI in a UK Region

Nissan's Sunderland plant, opened in 1986, is the standard UK example of inward FDI reshaping a regional economy. It is the UK's largest car plant and supports around **6,000 direct jobs** plus thousands more in the local supply chain. The original motive was classic tariff-jumping and market-seeking FDI: build inside the European single market to sell into it without tariffs, using a relatively low-cost, non-unionised-by-agreement, English-speaking workforce. The benefits to the North East are textbook — employment in a region that had lost coal and shipbuilding, wages above the local average, Japanese lean-production techniques transferred to UK suppliers, export earnings, and a cluster of component firms that located nearby. The costs and risks are equally textbook: profits flow to the Japanese parent; the region became dependent on a single foreign employer; and Brexit created real uncertainty about rules of origin and tariffs on exports to the EU. The firm has since recommitted, investing around **£450 million** to bring the new electric Leaf to Sunderland — production began in December 2025 — alongside the EV36Zero battery and powertrain project and a further **£170 million** for the Kicks model. A £50m JATCO electric-powertrain plant on the site adds a further 183 jobs. The episode shows both sides of the argument at once: FDI can regenerate a region, and it leaves that region permanently exposed to a boardroom decision taken 5,500 miles away.

Case Study: Apple, Foxconn and the Global Supply Chain

Apple designs in California, sources components from Japan, South Korea, Taiwan and the US, and has most assembly carried out by contract manufacturers — above all Foxconn — in China, and increasingly in India and Vietnam. It is the purest example of a globalised value chain, and of where the value actually accrues: the largest share of the retail price is captured by design, software and brand in the home economy, while assembly, which employs by far the most people, captures a small fraction. China's benefits have been real — millions of manufacturing jobs, a world-class electronics supply base, and enormous technology and logistics learning — but the costs have

been well documented, including excessive overtime, the use of student "interns" and worker-welfare scandals at large assembly campuses. Since 2020 Apple has pursued a "China plus one" strategy, expanding iPhone assembly in India partly to reduce exposure to tariffs and geopolitical risk. For the host economies, the case shows that attracting assembly FDI is the easy part; moving up the value chain into design and components is the hard part, and it is the part that determines whether globalisation raises long-run national income.

Exam Tips — Theme 3.1

- **Apply, don't just describe.** Economics B awards marks for using the extract and for naming real firms and countries. "An MNC might create jobs" is weak; "Nissan's Sunderland plant supports around 6,000 direct jobs plus supply-chain employment in a region with historically high unemployment" is strong.
- **Always identify winners and losers.** For protectionism: domestic producers and the government gain, consumers and exporting industries lose. For FDI: host workers and the exchequer may gain, local competitors and the environment may lose.
- **Separate short run from long run.** The J-curve, infant industry protection, technology transfer and structural unemployment are all long-run arguments.
- **Use the "it depends" chain properly.** The magnitude of an effect depends on elasticity, on local content, on the state of the economic cycle, and on how the government responds — say *which* and *why*.
- **On exchange rates, always ask what kind of firm.** A depreciation is not simply "good" — it is good for exporters with domestic inputs and bad for importers, and ambiguous for a manufacturer with an import-heavy bill of materials.
- **On entry methods, justify the choice.** Link the method to the firm's capital, its IP, the legal restrictions in the target market and the cultural distance — do not simply list the six options.
- **Date your evidence.** Tariff policy has changed repeatedly since 2018 and again after the February 2026 Supreme Court ruling. Saying "as of 2026" shows the examiner you know the data is time-sensitive.